the goods dealt in, the popularity of the firm and reputation of the owners of the business enterprise etc. It also refers to the monetary value of reputation of a business. Since, goodwill is not tangible it does not call for physical verification. The Goodwill is shown in company's Balance Sheet under the head Fixed Assets. Goodwill is used for attracting the customers. It attracts more customers and therefore, increases profits in future. It is an intangible real asset and not a fictitious asset. Goodwill is a valuable asset if the concern is profitable. On the other hand, it is valueless if the concern is in loss. Goodwill is to be verified and valued in the following manner.

AUDITOR'S DUTY IN VERIFICATION

1. Ascertain that the company is justified in creating goodwill in its books of accounts.
2. Where goodwill is generated in own business, the auditors should verify the particulars of expenses debited to Goodwill account.
3. In a partnership firm, the partnership deed should be verified by the auditor. He may also verify the changes made in the goodwill account from time to time based on the provisions made in the partnership deed.

AUDITOR'S DUTY IN VALUATION

1. Auditor should confirm himself that goodwill has not been shown in excess of its cost price.
2. Examine that the sum paid for goodwill does not exceed the difference between the total purchase consideration and the value of net tangible assets acquired.
3. He should see that it is valued as per method stated in partnership deed, purchase or agreement.
4. Goodwill may appear in the Balance Sheet at cost less amounts written off.
5. The amortization period and method of amortization should be reviewed at the end of each financial year.
6. An intangible asset should be eliminated in the books of accounts when no future economic benefits are expected from its use.

2. Patents

According to the Patent Act 1970, "A patent is an official document that guarantees to the inventor an exclusive right for a term of years to make, use or sell his invention".

AUDITOR'S DUTY IN VERIFICATION

While verfication and valuation patent right the auditor must bear in his mind the following important points.

1. The auditor should examine the actual certificates issued by the patent office in respect of patents granted.
2. The auditor should ensure that patents are registered in the name of the client.
3. Obtain a list showing the description of each patent, registered number, date, patented item, renewal date and number of years to run etc., concerning each patent.
4. Where patents have been purchased from an individual, auditor should inspect the agreement for the purchase and note the age of various patents.
5. Auditor should carefully verify that none of the patent rights have lapsed. Care should be taken the lapsed patent are written off.
6. The original fees paid to purchase the patent right should be capitalised and should be debited to patent account

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